

THE UNAUDITED FINANCIAL RESULTS FOR THE SIX MONTHS ENDED 31ST DECEMBER 2024

The Board of Directors of Kenya Electricity Generating Company PLC (KenGen) is pleased to announce the Company's Unaudited Financial Results for the six months ended 31st December,

SUMMARY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

Half Year ended 31 December	2024 Unaudited KShs Million	2023 Unaudited KShs Million
Revenue	27,495	28,523
Reimbursable Expenses (Fuel and water costs)	(4,143)	(3,797)
Revenue less reimbursable expenses	23,352	24,726
Other Income	560	300
Other Gains/(Losses) -net Forex and Fair Valuation of Financial Assets	394	(115)
	24,306	24,911
Operating Expenses	(17,661)	(20,463)
Operating Profit	6,645	4,448
Finance Income	2,445	1,873
Finance Costs	(1,136)	(1,491)
Profit Before Tax	7,954	4,830
Income Tax Expense	(2,658)	(1,871)
Profit After Tax	5,296	2,959
Other Comprehensive Income	19	(22)
Total Comprehensive Income	5,315	2,937
Basic and diluted earnings per share (KShs)	0.80	0.45

SUMMARY STATEMENT OF FINANCIAL POSITION

	31 December 2024 Unaudited KShs Million	30 June 2024 (Audited) KShs Million
ASSETS		
Property, Plant, and Equipment	424,615	426,723
Other Non-current Assets	16,028	16,379
Current Assets	54,195	48,191
	494,838	491,293
EQUITY AND LIABILITIES		
Total Equity	279,135	278,106
Non-current Liabilities	194,437	194,400
Current Liabilities	21,266	18,787
	494,838	491,293

SUMMARY STATEMENT OF CHANGES IN EQUITY

	Share Capital & Share Premium	Other Reserves	Retained earnings	Total Equity
	KShs Million			
As at 1 July 2024	38,639	118,730	120,737	278,106
Total Comprehensive Income for the period	-	19	5,296	5,315
Transfer of Excess Depreciation	-	(1,920)	1,920	-
Deferred Tax on Excess Depreciation	-	576	(576)	-
Dividends Declared (2024)			(4,286)	(4,286)
As at 31 December 2024	38,639	117,405	123,091	279,135
As at 1 July 2023	38,639	122,361	113,193	274,193
Total Comprehensive Income for the period	-	(22)	2,959	2,937
Transfer of Excess Depreciation	-	(1,985)	1,985	-
Deferred Tax on Excess Depreciation	-	596	(596)	-
Dividends Paid			(1,978)	(1,978)
As at 31 December 2023	38,639	120,950	115,563	275,152

SUMMARY STATEMENT OF CASH FLOWS

Half Year ended 31 December	2024 Unaudited KShs Million	2023 Unaudited KShs Million
Cash Generated from Operations	7,936	15,710
Finance Income Received	1,988	1,440
Tax paid	(771)	(341)
Net Cash generated from Operating Activities	9,153	16,809
Net Cash used in Investing Activities	(4,511)	(3,852)
Net Cash used from Financing Activities	(3,048)	(5,824)
Net increase/(decrease) in Cash and Cash Equivalents	1,594	7,133
At the beginning of the year	25,618	15,474
Effects of Exchange Rate Changes on Cash and Cash Equivalents	1	891
Cash and Cash Equivalents at the end of the period	27,213	23,498

Operating Environment

The country's electricity demand continued on the growth trajectory during the half-year ended 31st December, 2024, as measured by the peak demand, which reached 2,288MW on 29th October, 2024. A new peak demand of 2,305 MW was recorded on 15th January, 2025, with the highest energy gross demand of 42,050MWh recorded on the same day. Consequently, the number of national electricity units generated grew by 5.9% from 6,805GWhs in 2023 to 7,210GWhs for the six months ended 31st December, 2024.

KenGen supplied a total of 4,291GWhs for the half year to 31st December, 2024, compared to 4,211GWhs supplied in the prior period. As KenGen continues to innovate and streamline operations, it is reinforcing its position as a leader in sustainable energy and operational excellence.

Financial Highlights

The Company posted a 79% increase in Profit After Tax, from KShs 2,959 million in 2023 to KShs 5,296 million for the half-year ended 31st December, 2024. This remarkable performance was achieved despite a 3.6% reduction in total revenue from KShs 28,523 million in 2023 to KShs 27,495 million for the half year period ended 31st December, 2024. The growth was attributable to a 13.7% drop in operating expenses, driven by agile cost optimization strategies and cutting-edge efficiency enhancements across the power plants and an increase in finance income.

With increased focus on operational efficiencies, operating expenses reduced by KShs 2,802 million from KShs 20,463 million in 2023 to KShs 17,661 million for the half year ended 31st December, 2024. The Company achieved a 49% increase in operating profit, rising to KShs 6,645 million from KShs 4,448 million in the previous period.

Profit Before Tax increased by KShs 3,124 million, a 65% growth from KShs 4,830 million reported in 2023 to KShs 7,954 million for the six months ended 31st December, 2024. This growth reiterates KenGen's strong financial management, a testament that our efforts towards effective cost optimization and operational efficiencies are continuing to bear fruits. This performance was further bolstered by an increase in finance income to KShs 2,445 million from KShs 1,873 million, coupled with a reduction in finance costs to KShs

1,136 million from KShs 1,491 million, showcasing an improved capital efficiency and optimized debt management. The tax expense increased from KShs 1,871 million for the six months ended 31st December, 2023, to KShs 2,658 million for the period ended 31st December, 2024, a 42% increase owing to the improved profitability.

A Strong Foundation for Future Growth

KenGen's performance in the first half of the 2024/25 financial year reflects robust profitability, improved efficiency and strategic growth in investments. The Company remains resilient in the face of economic challenges, leveraging its expertise and wealth of experience in geothermal energy and provision of sustainable power solutions to drive long-term success. With a strong balance sheet, growing renewable energy portfolio, and commitment to innovation, KenGen is poised for continued expansion and shareholder value creation in the evolving energy landscape.

KenGen remains firmly committed to its strategic vision of driving Kenya's energy transition through its new G2G 2034 Strategy, towards sustainable and affordable power generation. The Company continues to leverage its geothermal leadership and expand renewable energy generation while optimizing existing assets to enhance efficiency and reliability. For a start, by 2027, we aim to deliver an additional 194.4MW of installed capacity across geothermal, hydro and solar power plant projects, and 200MWh of battery energy storage necessary for securing competitive and sustainable energy supply for the country.

Dividend

The Board does not recommend an interim dividend for the period.

Appreciation

We extend our heartfelt gratitude to all our shareholders and other stakeholders including the Government of Kenya for their invaluable support and contribution to the Company's performance and supporting our long-term growth strategy.

By Order of the Board

FCS AUSTIN OUKO
COMPANY SECRETARY

5th February 2025